5. PUBLIC BENEFITS, PUBLIC IMPROVEMENTS, AND DEVELOPMENT IMPACT FEES.

5.1 Intent. The Parties intend to provide consideration to the public to balance the private benefits conferred on Owner under this Agreement by requiring that Owner provide the Public Benefits described in this Section 5. The City has either previously approved or is in the process of considering various public improvements that may occur on or adjacent to the Property including the Sun Lakes Boulevard Extension, the Substation, a reverse osmosis facility and a potable water reservoir. Each of these public improvements has either undergone prior environmental (CEQA) review or is under consideration by the City or would, prior to construction, undergo applicable environmental (CEQA) review by the City and may proceed with or without development of the Project. Nonetheless, the Public Benefits include land conveyance and payments to be made to the City by Owner which land and payments may be utilized by the City for these and for other purposes to the extent described in this Agreement, in the event the City does not proceed with construction of such public improvements.

5.2 Public Benefit Fee. Owner shall pay the City a Public Benefit Fee ("Public Benefit Fee") equal to the lesser of either Eight Million Dollars ($8,000,000) or One Dollar and Forty Four Cents ($1.44) per square foot of entitled warehouse/logistics/industrial building square footage. Furthermore, the Public Benefit Fee shall be paid in installments subject to the following terms and conditions:

5.2.1 First Installment. In consideration for the City entering into this Agreement, Owner shall pay the first installment of the nonrefundable Public Benefit Fee of Three Million Dollars ($3,000,000) (First Installment") by wire transfer in immediately available funds within sixty (60) days of the Effective Date without extension for any reason such as denial of the Annexation by LAFCO, a Development Limitation, force majeure, lawsuit challenging this Agreement or the Development Approvals or Tolling Period. In the event that such payment is not made within such sixty (60) days, this Agreement and the Development Approvals shall, without the necessity of notice or cure, terminate. However, the provisions providing for the City to retain the First Installment shall survive such termination. Notwithstanding anything to the contrary in this Agreement and the Development Approvals, they shall not be deemed to be vested rights of Owner until the First Installment is made. If Owner elects to terminate this Agreement and the Development Approvals as provided for in this Agreement, the rights under this Agreement and the Development Approvals shall be deemed not to be vested.. Upon Owner's payment of the First Installment, the Existing Land Use Regulations shall revert to the Land Use Regulations in effect on the Effective Date.

5.2.2 Subsequent Installments. Following the issuance of occupancy permits for the first 694,444 square feet of warehouse/logistics/industrial buildings, Owner shall pay subsequent installments of the Public Benefit Fee upon issuance of occupancy permits for each warehouse/logistics/industrial building on a square-foot-by-square foot basis at the rate of One Dollar and Forty Four Cents ($1.44) per square foot ("Subsequent Installments").

5.2.3 Sales Tax Credits. Owner may claim Sales Tax Revenues generated by the Industrial Property (as defined below) as a credit on a dollar-for-dollar basis toward future Subsequent Installments up to a maximum cumulative credit of Two Million Dollars ($2,000,000).